

HEADNOTE

“The Court has the discretion to order a security for legal costs and other expenses. Factors to be considered when ordering a security order include the financial position of the other party that may give rise to a legitimate and real concern that a possible cost order might not be recoverable and/or the likelihood that a possible cost order by the UPC may not, or in an unduly burdensome way, be enforceable. Imposing a security for legal costs serves to protect the position and (potential) rights of the Defendant. This has to be balanced against the burden for the Claimant caused by an order to provide security. There should not be an unjustified interference with the right to an effective remedy and to a fair hearing. The Court must weigh the relevant facts and circumstances. It is for the party requesting a security order to bring forward facts and arguments why such an order is appropriate in a specific case. Once facts and reasons in support of a security request have been brought forward in a credible way, it is up to the responding party to contest such facts and reasons in a substantiated way, especially since that party will normally have knowledge of and will be in the possession of evidence in relation to its financial position and (the location of) its assets.”

COURT
Central Division in Munich

PROCEEDINGS
Action for revocation

PATENT
EP2794928

Compositions and methods for analyte
detection

KEYWORDS

Security for legal costs and other expenses...

Rule 9.1

355 RoP (yes). Discretion. Financial positio...

SUMMARY

The Central Division in Munich ruled on an action for revocation. The patent at issue relates to compositions and methods for analyte detection. According to the headnotes of the decision, the Court has discretion to order a claimant to provide security for the defendant's legal costs and expenses when there is legitimate concern about the claimant's ability to pay a potential cost award or enforce it. The Court must balance the protection of the defendant's interests through a security order against the burden imposed on the claimant's right to pursue its case fairly and effectively. When a party requests a security order, it must present credible facts and arguments supporting that request, after which the responding party bears the responsibility to contest those facts with substantiated evidence, particularly regarding its own financial position and assets.